

6 Contract Red Flags Checklist

We see these in contracts every single week. Each one can cost you thousands of dollars, lock you into bad deals, or put your business at risk. Use this checklist before you sign anything.

Red Flag #1

Auto-Renewal Traps

Contracts that automatically renew for extended periods with narrow cancellation windows.

What to look for:

- ☐ "This agreement shall automatically renew for successive [term] periods..."
- ☐ Cancellation windows of 30 days or less before renewal date
- ☐ Renewal terms that differ from the original term (e.g., month-to-month becomes annual)

What to do about it:

Add a calendar reminder 60+ days before every renewal date. Negotiate a mutual opt-out with 60-day written notice.

Red Flag #2

Hidden Fee Structures

Pricing that looks straightforward but inflates after signing through add-ons, escalation clauses, or vague "additional charges."

What to look for:

- ☐ "Prices subject to change with 30 days notice..."
- ☐ Annual escalation clauses (often 3-5% buried in fine print)
- ☐ Separate fees for implementation, support, training, or "platform access"

What to do about it:

Request a complete fee schedule as an exhibit. Cap annual increases at a fixed %. Get "all-inclusive" pricing in writing.

Red Flag #3

IP & Work Product Clauses

Language that transfers ownership of your intellectual property, deliverables, or pre-existing work to the other party.

What to look for:

- ☐ "All work product created under this agreement shall be the sole property of..."
- ☐ Broad definitions of "work product" that include pre-existing IP
- ☐ "Work made for hire" language in contractor agreements

What to do about it:

Explicitly carve out pre-existing IP. Define "work product" narrowly. Retain a license to reuse your own methods and frameworks.

Red Flag #4

Liability Landmines

Uncapped indemnification or liability clauses that expose you to disproportionate financial risk.

What to look for:

- ☐ "You shall indemnify, defend, and hold harmless..." without a cap
- ☐ No limitation of liability section, or one that only limits the other party
- ☐ Consequential damages not excluded for both parties

What to do about it:

Cap liability at the contract value (or 12 months of fees). Ensure indemnification is mutual. Exclude consequential damages for both sides.

Red Flag #5

Termination Restrictions

Exit clauses designed to make it expensive or impossible to leave, even when the other party underperforms.

What to look for:

- ☐ Early termination fees exceeding the remaining contract value
- ☐ "Termination for cause" defined so narrowly it is almost impossible to invoke
- ☐ No termination for convenience clause
- ☐ Data held hostage: no provision for return of your data/files on termination

What to do about it:

Add termination for convenience with 30-60 day notice. Cap early termination fees. Include a data return/export clause.

Red Flag #6

Scope Creep Triggers

Vague deliverable definitions that let vendors charge more for the same work or deliver less than expected.

What to look for:

- ☐ Deliverables described in general terms ("consulting services") without specifics
- ☐ No defined acceptance criteria or completion milestones
- ☐ "Reasonable efforts" or "best efforts" without measurable standards
- ☐ Change order process that favors the vendor

What to do about it:

Attach a detailed Statement of Work (SOW). Define acceptance criteria for every deliverable. Require written change orders with pricing before extra work begins.

Want to go deeper?

This checklist shows you what to look for. Our tools and services show you what to do about it.

Contract Clarity Prep Kit - \$47

Step-by-step review framework with clause assessment worksheets. Work through it before reviewing any contract.

[procura-logic.com](#) > [Resources](#) > [Prep Kit](#)

Vendor Contract Glossary - \$20

40+ contract terms explained in plain language with real-world impact tags (lock-in risk, financial limit, hidden loss).

[procura-logic.com](#) > [Resources](#) > [Glossary](#)

Quick Contract Review - \$99

Upload your contract and get a full written analysis with risk ratings, clause breakdowns, and negotiation recommendations in 48 hours.

[procura-logic.com](#) > [Pricing](#) > [Quick Review](#)

Contract Clarity Consultation - \$125

Everything in the written review plus a 30-minute live walkthrough where you can ask questions and get negotiation guidance.

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Questions? Email hello@procura-logic.com
[procura-logic.com](#)